

The suggestion made in respect to the working-capital covenants, *viz.*, that voting control be transferred to the bondholders in the event of default, is equally applicable to the sinking-fund provision. In our view that would be distinctly preferable to the present arrangement under which the bondholder must either do nothing to protect himself or else take the drastic and calamitous step of compelling bankruptcy.

The emphasis we have laid upon the proper kind of protective provisions for industrial bonds should not lead the reader to believe that the presence of such provisions carries an assurance of safety. This is far from the case. The success of a bond investment depends primarily upon the success of the enterprise and only to a very secondary degree upon the terms of the indenture. Hence the seeming paradox that the senior securities that have fared best in the depression have on the whole quite unsatisfactory indenture or charter provisions. The explanation is that the best issues as a class have been the oldest issues, and these date from times when less attention was paid than now to protective covenants.

In Appendix Note 34, we present two examples of the opposite kind (Willys-Overland Company First 6¹/₂s, due 1933, and Berkey and Gay Furniture Company First 6s, due 1941) wherein a combination of a strong statistical showing with all the standard protective provisions failed to safeguard the holders against a huge subsequent loss. But while the protective covenants we have been discussing do not *guarantee* the safety of the issue, they nevertheless *add* to the safety and are therefore worth insisting upon.

Sinking-fund payments have been suspended without penalty in the case of numerous real estate issues, under the provisions of various state mortgage moratorium laws. *Example:* Harriman Building First 6s, due 1951. No sinking-fund payments were made between 1934 and 1939 by virtue of the New York Moratorium Law.

See Chapter 20, "Preferred-Stock Protective Provisions. Maintenance of Junior Capital" online at www.mhprofessional.com/SecurityAnalysis7.